

LW6164E: LAW OF CONTRACT

Effective Term

Semester A 2025/26

Part I Course Overview

Course Title

Law of Contract

Subject Code

LW - Law

Course Number

6164E

Academic Unit

School of Law (FL)

College/School

School of Law (FL)

Course Duration

One Semester

Credit Units

3

Level

P5, P6 - Postgraduate Degree

Medium of Instruction

English

Medium of Assessment

English

Prerequisites

Nil

Precursors

Nil

Equivalent Courses

LW5602 (only applicable to students who completed LW5602 before Sem A 2019/20)

Exclusive Courses

LW6564E, LW5602

Additional Information

Students who have taken a contract law course during their LLB degree, which was obtained from institutions in a common law jurisdiction, are not allowed to take this course.

Part II Course Details

Abstract

This course aims to enable students to:

- acquire a strong foundation in the principles and doctrines of contract law;
- apply contract law principles and doctrines to solve problems and resolve disputes;
- critically evaluate contract law principles and doctrines;
- discover relationship between different contract law components: formation, content, vitiating factors, discharge and remedies for breach;
- assess how contractual obligations affect our daily lives; and
- develop an attitude of critical and reflective learning.

Course Intended Learning Outcomes (CILOs)

	CILOs	Weighting (if app.)	DEC-A1	DEC-A2	DEC-A3
1	Identify and explain principles of contract law as well as the relationship between different contract law components.	40	x	x	
2	Apply contract law principles to solve problems by: · reading and interpreting cases · interpreting statutes · analysing facts · conducting independent legal research · developing persuasive arguments by using legal authorities appropriately · writing and communicating orally.	35	x	x	x
3	Analyse critically and evaluate legal principles and doctrines in the law of contract in the light of doctrinal coherence and the policy objectives of the law.	25	x	x	x

A1: Attitude

Develop an attitude of discovery/innovation/creativity, as demonstrated by students possessing a strong sense of curiosity, asking questions actively, challenging assumptions or engaging in inquiry together with teachers.

A2: Ability

Develop the ability/skill needed to discover/innovate/create, as demonstrated by students possessing critical thinking skills to assess ideas, acquiring research skills, synthesizing knowledge across disciplines or applying academic knowledge to real-life problems.

A3: Accomplishments

Demonstrate accomplishment of discovery/innovation/creativity through producing /constructing creative works/new artefacts, effective solutions to real-life problems or new processes.

Learning and Teaching Activities (LTAs)

LTAs		Brief Description	CILO No.	Hours/week (if applicable)
1	Lectures	Students will be introduced to principles and doctrines of contract law through lectures and interactive discussion using hypothetical scenarios and real life situations.	1	
2	Lectures	Students will read cases to prepare for lectures, interpret statutes and develop persuasive arguments in class discussion.	2	
3	Lectures	Students will explore relevant issues of law and address the theoretical underpinnings of various topics.	3	
4	Seminars	Students will be given the opportunity to clarify or raise further questions regarding principles and doctrines of contract law taught in lectures.	1	
5	Seminars	Students will apply legal principles to solve hypothetical problems and communicate solutions in a coherent and persuasive manner.	2	
6	Seminars	Students will critically analyse and evaluate legal principles and doctrines.	3	

Assessment Tasks / Activities (ATs)

	ATs	CILO No.	Weighting (%)	Remarks ("- for nil entry)	Allow Use of GenAI?
1	Presentation/ drafting legal essay: Students' ability to identify legal issues, analyse facts, apply the relevant contract law rules/principles and articulate their advice in a coherent and reasoned manner will be tested.	1, 2	20	-	No
2	Class participation and discussion: Students' ability to develop persuasive arguments and communicate them orally in a cohesive manner will be tested. Students' ability to analyse facts, identify legal issues and apply as well as critically evaluate contract law rules/ principles will be tested.	2, 3	20	-	No

Continuous Assessment (%)

40

Examination (%)

60

Examination Duration (Hours)

2

Minimum Continuous Assessment Passing Requirement (%)

40

Minimum Examination Passing Requirement (%)

40

Additional Information for ATs

Examination:

Students' ability to explain clearly contract law principles and doctrines will be tested.

Students' ability to analyse facts, identify legal issues and apply legal rules and principles to hypothetical scenarios will be tested.

Students' ability to critically analyse and evaluate legal principles and doctrines will be tested.

The use of Generative AI tools is not allowed.

Applicable to students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter

To pass this course, students must obtain an aggregate mark of 40% and a minimum of 40% in each of the continuous and the examination elements of the assessment. Continuous assessment for this purpose means those ways in which students are assessed otherwise than by the end of session examination.

Further information about continuous assessment tasks, including the submission schedule, will be provided by the course leader.

The duration of the open book examination will be 2 hours.

To achieve all ILOs of this course, students are strongly encouraged to attend and participate actively in all lectures and tutorials.

Applicable to students admitted from Semester A 2022/23 to Summer Term 2024

To pass this course, students must obtain an aggregate mark of 50% and a minimum of 50% in each of the continuous and the examination elements of the assessment. Continuous assessment for this purpose means those ways in which students are assessed otherwise than by the end of session examination.

Further information about continuous assessment tasks, including the submission schedule, will be provided by the course leader.

The duration of the open book examination will be 2 hours.

To achieve all ILOs of this course, students are strongly encouraged to attend and participate actively in all lectures and tutorials.

Assessment Rubrics (AR)

Assessment Task

Drafting legal essay (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Ability to identify issues, analyse facts, conduct research, apply legal principles, provide a reasoned analysis, and write in a coherent and persuasive manner by using supporting authorities.

Excellent

(A+, A, A-) Excellent identification of issues, analysis of facts, evidence of research, application of legal principles, and articulation of views supported by authorities.

Good

(B+, B, B-) Good identification of issues, analysis of facts, evidence of research, application of legal principles, and articulation of views supported by authorities .

Fair

(C+, C, C-) Fair identification of issues, analysis of facts, evidence of research, application of legal principles, and articulation of views supported by authorities.

Marginal

(D) Barely adequate identification of issues, analysis of facts, evidence of research, application of legal principles, and articulation of views supported by authorities.

Failure

(F) Poor identification of issues, analysis of facts, evidence of research, application of legal principles, and articulation of views supported by authorities.

Assessment Task

Class participation and discussion (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Ability to analyse facts, identify relevant issues, develop persuasive arguments, communicate one's arguments orally in a cohesive manner, and demonstrate an aptitude for critical thinking.

Excellent

(A+, A, A-) Excellent analysis of facts, identification of issues, articulation of one's arguments persuasively and cohesively, and demonstration of an aptitude for critical thinking.

Good

(B+, B, B-) Good analysis of facts, identification of issues, articulation of one's arguments persuasively and cohesively, and demonstration of an aptitude for critical thinking.

Fair

(C+, C, C-) Fair analysis of facts, identification of issues, articulation of one's arguments persuasively and cohesively, and demonstration of an aptitude for critical thinking.

Marginal

(D) Barely adequate analysis of facts, identification of issues, articulation of one's arguments persuasively and cohesively, and demonstration of an aptitude for critical thinking.

Failure

(F) Poor analysis of facts, identification of issues, articulation of one's arguments persuasively and cohesively, and demonstration of an aptitude for critical thinking.

Assessment Task

Examination (for students admitted before Semester A 2022/23 and in Semester A 2024/25 & thereafter)

Criterion

Ability to analyse facts, identify relevant issues, explain and apply legal principles, and communicate one's reasoned views in writing.

Excellent

(A+, A, A-) Excellent analysis of facts, identification of issues, explanation and application of legal principles, and communication of one's reasoned views.

Good

(B+, B, B-) Good analysis of facts, identification of issues, explanation and application of legal principles, and communication of one's views.

Fair

(C+, C, C-) Fair analysis of facts, identification of issues, explanation and application of legal principles, and communication of one's views.

Marginal

(D) Barely adequate analysis of facts, identification of issues, explanation and application of legal principles, and communication of one's views.

Failure

(F) Poor analysis of facts, identification of issues, explanation and application of legal principles, and communication of one's views.

Assessment Task

Drafting legal essay (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Ability to identify issues, analyse facts, conduct research, apply legal principles, provide a reasoned analysis, and write in a coherent and persuasive manner by using supporting authorities.

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Assessment Task

Class participation and discussion (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Ability to analyse facts, identify relevant issues, develop persuasive arguments, communicate one's arguments orally in a cohesive manner, and demonstrate an aptitude for critical thinking.

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Assessment Task

Examination (for students admitted from Semester A 2022/23 to Summer Term 2024)

Criterion

Ability to analyse facts, identify relevant issues, explain and apply legal principles, and communicate one's reasoned views in writing.

Excellent

(A+, A, A-) High

Good

(B+, B) Significant

Marginal

(B-, C+, C) Moderate

Failure

(F) Inadequate

Part III Other Information

Keyword Syllabus

Nature and purpose of contract law; theories of contract law; offer and invitation to treat; acceptance; intention to create legal relations; consideration; estoppel; different types of terms: conditions, warranties and innominate terms; implied terms; exemption clauses; vitiating factors: misrepresentation, mistake, duress, undue influence and unconscionability; discharge of contract: performance, breach, and frustration; remedies: damages (including remoteness of damages), injunction, and specific performance; privity of contract and the rights of third parties.

Detailed Syllabus

The following topics are studied in detail:

Contract formation

Offer and acceptance: introduction to contract; offer and invitation to treat; unilateral and bilateral contracts; modes of communicating acceptance; acceptance by instantaneous means of communication; termination of an offer

Intention to create legal relations: the test to ascertain intention; presumptions in social and commercial contexts

Consideration and estoppel: executed and executory consideration, past consideration, adequacy of consideration, consideration and motive, forbearance as consideration: acts or forbearance in performance of existing duties; promissory and proprietary estoppels

Contents of a contract

Express and implied terms: diverse circumstances in which terms are implied

Nature of contract terms: conditions, warranties and innominate terms

Exclusion clauses: meaning; modes of incorporation; interpretative tools to limit exclusion clauses; statutory limits on exclusion clauses

Vitiating factors

Misrepresentation: meaning and typology; how to rescind a contract; limitations on the right to rescission; right to indemnity; statement as a 'warranty'; misrepresentation in a collateral contract; damages for negligent misrepresentation; implications of the Misrepresentation Ordinance

Mistake: meaning; mistake at common law and equity; types of mistakes: common mistake, mutual mistake, and unilateral mistake

Duress: meaning; differences with undue influence; effect on the contract entered

Undue influence: concept; differences with duress; remedy for the innocent party

Unconscionability: meaning; differences with duress and undue influence; position at common law and under the Unconscionable Contracts Ordinance

Discharge of contract

Performance: conditional contracts; partial performance; defective performance; substituted performance; substantial compliance

Breach: actual, repudiatory and anticipatory breaches; effect; options available to the innocent party

Frustration: concept; grounds of frustration; effect of frustration

Remedies

Damages: principles governing quantification of damages; remoteness; mitigation and liquidated damages

Specific performance and injunction

Privity of contract: meaning and historical evolution; justifications for the doctrine; protecting interests of third parties; exemption clauses and third parties; exceptions to the privity doctrine; effect of the Contracts (Rights of Third Parties) Ordinance.

Reading List

Compulsory Readings

Title	
1	Students should acquire any one of the following: MJ Fisher and DG Greenwood, <i>Contract Law in Hong Kong</i> , 3rd edn HKU Press, 2018.
2	S Hall, <i>Foundations of Contract Law in Hong Kong</i> , 8th edn LexisNexis, 2023.
3	J Cartwright, <i>An Introduction to the English Law of Contract for the Civil Lawyer</i> , latest edition, Hart Publishing.
4	Ewan McKendrick, <i>Contract Law</i> , latest edition. Hart Publishing.

Additional Readings

Title	
1	Students may find the following useful
2	Student books:
3	E McKendrick, <i>Contract Law: Text, Cases, and Materials</i> , 8th edn., OUP, 2018.
4	E Peel, (Treitel on the) <i>Law of Contract</i> , current edition., Sweet & Maxwell.
5	Ordinances:
6	Sales of Goods Ordinance (Cap 26).
7	Supply of Services (Implied Terms) Ordinance (Cap 457).
8	Control of Exemption Clauses Ordinance (Cap 71).
9	Misrepresentation Ordinance (Cap 284).
10	Unconscionable Contracts Ordinance (Cap 458).
11	Law Amendment and Reform (Consolidation) Ordinance (Cap 23).
12	Contracts (Rights of Third Parties) Ordinance (Cap 623).
13	Download from: https://www.elegislation.gov.hk/